



Wadhvani Ignite

CONCEPT BOOKLET

Module 7

Lesson 1&2: Revenue Models

Context:

A revenue model is a framework for generating income for a business. The foundation of any business's revenue model is its value proposition—what unique value it offers to customers and what those customers are willing to pay for that value.

For startups, developing relevant revenue models is important to prove viability, attract investment, and ensure survival.

For large companies, it's about sustaining growth, managing risks, and maintaining stakeholder confidence. Both perspectives highlight the critical role of revenue models in guiding business strategy, financial planning, and operational success.

Program overview, and your **Venture Journey** over 14 weeks

1. Problem Identification	2. Customer Identification & Needs Validation	3. Solution Idea Generation
Week 1-2	Weeks 2-4	Week 4
■ Orientation ■ Develop Macro Industry-Problem view ■ Assemble “Real-World” Problems ■ Examine Chosen Problems ■ Analyze Problems	■ Identify customer segments ■ Assess ‘jobs-to-be-done’ ■ Develop Customer Personas ■ Understand Customer Validation ■ Validate Customer-Problem fit ■ Pivot/Refine Customer-Problem Fit for Feasibility	■ Understand Ideation techniques ■ Generate Solution Idea
4. Opportunity & Competition Mapping	5. Prototype Development & MVP	6. Opportunity Feasibility Assessment & Sizing
Week 5	Week 6	Week 7-8
■ Identify Global competitors ■ Review Industry Trends and Estimate Market Size (TAM) ■ Introduction to Financial Planning	■ Overview of Prototypes & MVP ■ Build an Initial Prototype ■ Prototype for Early Validation	■ Map your Relative Position in the Market ■ Estimate Opportunity Size
7. Business Modelling	8. Marketing & Sales Strategy	9. Financial Management for Profitability
Week 8-9	Week 9-10	Week 11-12
■ Examine Revenue Model ■ Revenue Models continued ■ Review and Organize the Lean Canvas ■ Build the LC for your Startup	■ Understand Marketing & Sales ■ Recommend a Go-To-Market (GTM) Approach ■ Map a Sales Process	■ Deep Dive into Financial Planning ■ Analyze the Path to Profitability ■ Understand Bootstrapping and Funding Options
10. Team & Talent Requirement	11. Orientation for Scale	12. Venture Idea Feasibility Presentation
Week 12	Week 13	Week 14
■ Finding Co-founders and Mentors ■ Building an Initial Team	■ Thinking Beyond the Prototype - Scale Opportunity & Orientation ■ Persuasive Story-Telling for a Viable Venture Idea ■ Pitch preparation	■ Practice Pitch ■ Final Pitches

Concepts covered in this Lesson that are important for you to understand and be able to apply include:

1. Revenue Model and its importance
2. Types of Revenue Models
3. How to get to the right Revenue Models
4. Pricing Strategies

Revenue Model and its importance:

Revenue models form the 'Foundation' for 'Business Strategy'. Revenue models form a critical part of a startup's business plan, demonstrating how the company intends to make money. They help determine if the business idea is financially viable and sustainable in the long term.

It defines the strategy and methods a company uses to earn money through the sale of its products or services. The rock bed of revenue model of any business is the value proposition for the customers and what they are willing to pay for the value generated.

It is crucial to attracting Investors. A clear and credible revenue models give prospective investors confidence in the start-up's ability to generate profits. They play a significant role in the start-up's valuation, influencing the amount of investment it can attract.

When the start-up starts operating, revenue models become essential for Cash Flow Management. Understanding revenue models helps start-ups predict cash flow, which is crucial for managing operations and growth. Effective revenue models ensure that the start-up can cover its expenses and scale its operations to become profitable.

Types of Revenue Models:

There can be many types of revenue models the most common ones seen across large numbers of businesses include:

1. Transaction-Based model

This is the most straightforward model. Businesses earn income through individual sales of their products or services. For Example:

Kirana Stores: These stores typically employ a transaction-based revenue and earn income through individual sales of groceries, household items, and other daily essentials.

Local Bakery: A local bakery selling delicious cakes and pastries to customers exemplifies this model. Every cake or pastry sold translates to a transaction and revenue for the bakery

2. Subscription-Based model

Customers pay a recurring fee (monthly, quarterly, annually) for ongoing access to a product or service. Some examples include:

Coaching Institutes: Students pay a fixed monthly fee to access their coaching programs, lectures, and study materials.

Fitness Center: A fitness center offering monthly or yearly memberships for access to their gym facilities and classes is a prime example.

3. Freemium Model

This model offers a basic version of a product or service for free, with premium features or functionalities available for a fee.

For example:

Gaming: Mobile gaming apps often follow this model, where you can play the game for free but have to pay to unlock additional levels or features.

Research Website: A research website might offer free articles but charge a fee for in-depth analysis, exclusive interviews, or e-paper access.

4. Membership Model

Businesses grant access to exclusive benefits or products in exchange for a membership fee. For example:

Loyalty programs: A supermarket loyalty program rewarding customers with points for every purchase, redeemable for discounts or exclusive offers, is a classic example of a membership model.

Language Learning App with Live Tutors: The basic membership could provide access to pre-recorded lessons and automated exercises, while a premium membership could include live interactive sessions with native-speaking tutors.

5. Advertising Model

Businesses generate revenue by displaying advertisements on their platforms (websites, apps) or within their products (newspapers, magazines). Many news websites and social media platforms rely heavily on advertising revenue.

News App: A news app could offer a free version with local news articles and weather updates. The app could generate revenue by displaying targeted ads from local businesses like restaurants, shops, and educational institutions.

Movie Ticketing App: A movie ticketing app could offer a free version with basic ticket booking functionalities. The app could partner with local restaurants and shops near cinemas, displaying their offers and promotions within the app in exchange for advertising fees.

6. Freemium + Advertising Model

This is a hybrid model that combines the freemium model with advertising. For example:

Music Streaming Service: A music streaming service like Spotify could offer a freemium+advertising model. The free version might have limited skips per hour, contain ads between songs, and offer only a basic audio quality.

A premium membership could remove ads, offer unlimited skips, and provide high-definition audio streaming.

Fitness App with Personalized Workouts: The free version might provide access to generic workout routines and basic tracking features. It could include targeted ads for fitness apparel and healthy food brands.

A premium membership could offer personalized workout plans based on user goals and fitness levels, with additional features like video tutorials and progress reports.

7. Pay-Per-Use Model

Customers pay only for what they use. For example:

Bike/Scooter Rental Service: A bike or scooter rental service could implement a pay-per-use model. Users could rent a vehicle for a specific duration, paying only for the time they use it, making it ideal for short commutes or running errands.

Co-working Space: A co-working space in a tier 2 city could offer a pay-per-use model. Individuals or startups could rent a desk or a meeting room for a specific duration, allowing for flexible working arrangements without a fixed monthly commitment.

8. Marketplace Model

The marketplace model acts as a virtual marketplace, connecting buyers and sellers on a single platform. Businesses employing this model don't own the inventory themselves; instead, they act as facilitators, bringing buyers and sellers together and taking a commission on each transaction. Think of it as a bustling market square, but in the digital world!

Airbnb: Airbnb acts as a marketplace connecting travelers (guests) with property owners (hosts). They earn revenue by taking a commission on each booking made through their platform, charged to both guests and hosts.

Flipkart and Amazon connect a vast network of sellers with millions of buyers across India. These platforms offer a vast product selection while sellers benefit from a wider customer reach. They earn revenue by charging sellers a commission on each sale, along with additional fees for services like fulfillment and storage.

Getting to the right Revenue Model for your venture:

Getting to the right Revenue Model is often an iterative process for any entrepreneur or any business and it is crucial to be able to adapt models based on the differences in the Markets that a start-up may be operating in.

Start-ups can experiment intelligently with different revenue models to find the most effective way to monetize their offerings.

Revenue models provide insights into customer behaviour and preferences, guiding product and service adjustments till a start-up reaches a perfect fit between its product and the market's needs.

Effective Revenue Models help create a '**Competitive Advantage**' for the start-up. Unique revenue models can differentiate a start-up from its competitors and create a competitive edge.

They help identify the potential for scaling operations and increasing market share.

Pricing Strategies:

Now, let us understand the relationship of price to a start-up's revenue model.

A revenue model is a blueprint for how a business earns money, while a pricing strategy is the *approach a business uses to set prices for its products or services*. The **revenue model** outlines the **overall plan for generating income**, such as through direct sales, subscriptions, or advertising. The **pricing strategy**, on the other hand, determines **how much to charge customers** within that **model**.

In essence, the revenue model defines the sources of income, and the pricing strategy helps maximize that income by setting the right prices to attract customers and drive sales.

For example:

- In a subscription-based revenue model, the pricing strategy might involve offering different tiers (basic, premium) to cater to various customer needs and willingness to pay.
- In a direct sales revenue model, the pricing strategy could include discounts, seasonal pricing, or competitive pricing to attract and retain customers.

Together, the revenue model and pricing strategy ensure that a business not only generates revenue but does so in a way that appeals to its target market and maximizes profitability.

Think of price as a bridge connecting your product or service to your customers. It should reflect the value you deliver and resonate with what your target market is willing to pay.

Here are some common pricing methods for you to consider when crafting an effective pricing strategy:

1. Cost-Plus Pricing

Cost-plus pricing is a simple strategy where you add a markup percentage on top of your product's production cost.

This markup ensures a profit margin, but it doesn't consider competitor prices or customer value perception.

It's a good starting point for businesses with limited market data, but may not be ideal for competitive markets.

Examples:

Local T-Shirt Printing Shop: This shop calculates its costs, which include blank t-shirts, printing materials, labor, and

overhead expenses. They then add a desired profit margin (say, 30%) to arrive at the final selling price for a printed t-shirt.

Mobile Phone Repair Store: The repair shop considers the cost of replacement parts, technician expertise, and shop rent when determining the repair fee for a cracked phone screen. They add a markup to cover their costs and generate profit.

Pros:

- **Simple and Easy to Implement:** This method requires minimal calculations, making it suitable for businesses with straightforward cost structures.
- **Ensures Profitability:** By factoring in costs and desired profit margin, you guarantee a baseline level of profitability.

Cons:

- **Doesn't Consider Customer Value:** This strategy focuses on costs, neglecting customer perception of value. You might end up overpricing your offerings and losing customers.
- **Less Competitive:** In a competitive market, solely relying on cost-plus pricing might make your offerings less attractive compared to competitors with more strategic pricing approaches

2. Value-Based Pricing

Value-based pricing flips the script on cost-plus. Instead of adding a markup, you determine the price based on how much benefit your product or service brings to the customer.

It requires understanding their needs and the value you deliver.

This strategy can command premium prices but needs strong customer research and clear communication of your product's worth.

Software with Tiered Plans: Companies like Slack offer different subscription plans with varying features. Basic plans cater to small teams with core functionalities at a lower price.

Higher tiers with features like integrations and advanced analytics are priced for larger businesses based on the additional value they provide.

Luxury Goods: High-end brands like Louis Vuitton price their products based on the perceived value of exclusivity, craftsmanship, and brand status.

Customers are willing to pay a premium for the experience and social cachet associated with the brand, not just the materials.

Pros:

- ***Focuses on Customer Perception:*** This strategy prioritizes the value your offering delivers to the customer, potentially leading to higher price points and increased profitability.
- ***Differentiates Your Business:*** By emphasizing unique value propositions, you can stand out from the competition and attract customers willing to pay a premium for your offerings.

Cons:

- **Requires Market Research:** Accurately gauging customer perceived value necessitates thorough market research and understanding of customer needs, which can be time-consuming and expensive.
- **Subjectivity in Value Perception:** What one customer deems valuable might not resonate with another. This can make it challenging to establish a universally accepted price point.

3. Competition-Based Pricing

Competition-based pricing analyzes competitor prices to set your own. You can be a price leader (charging lower), match competitor prices, or position yourself as a premium option.

This approach is quick for market alignment but overlooks your costs and customer value perception.

Some forms of competition based pricing include:

Penetration Pricing: Launch with a lower price to gain market share, potentially raising prices later.

Price Skimming: Launch with a high price for early adopters, then gradually lower it to reach a wider audience.

Examples:

Online Grocery Delivery Startup: This startup operates in a crowded market with several established players.

They might initially implement penetration pricing, offering lower delivery fees than competitors to gain market share.

Boutique Jewelry Store: This store focuses on handcrafted, unique pieces made with high-quality materials.

They might adopt price skimming, setting prices higher than mass-produced jewelry stores to reflect the exclusivity and perceived value of their products.

Pros:

- **Reduced Risk:** By following competitor pricing, you minimize the risk of significantly overpricing or underpricing your offerings.
- **Faster Market Entry:** This strategy allows you to quickly enter a market and gain a foothold by aligning with established pricing structures.

Cons:

- **Limited Differentiation:** Reliance on competitor pricing can hinder your ability to differentiate your offerings and establish a unique value proposition.
- **Price Wars:** Focusing solely on undercutting competitors can lead to price wars, ultimately hurting profit margins for all players in the market.

4. Psychological Pricing

Psychological pricing uses tricks to influence how customers perceive price. It often involves setting prices just below round numbers (e.g., \$9.99) to make them seem cheaper.

This strategy focuses on subconscious cues and can be effective, but shouldn't replace offering true value. Examples:

Restaurant Menu: The restaurant lists a burger for ₹ 199 instead of ₹ 200.

This odd-numbered pricing creates a perception of a better deal and might nudge customers towards ordering it.

Electronics Store: The store advertises a TV priced at ₹ 29,999 instead of ₹ 30,000.

This subtle price difference can influence customer perception and make the TV seem more affordable.

Pros:

- **Influences Customer Behavior:** This strategy leverages psychological triggers to nudge customers towards making purchasing decisions. It can be particularly effective for impulse purchases.
- **Creates a Perception of Value:** Odd-numbered pricing or price anchoring (referencing a higher price before offering a discount) can make customers feel like they're getting a better deal.

Cons:

- **Short-Term Tactic:** Psychological pricing might influence short-term buying decisions but might not foster long-term customer loyalty if the product or service itself doesn't deliver on its perceived value.
- **Can Backfire:** Customers are becoming increasingly savvy. If used excessively or in a manipulative way, psychological pricing tactics can backfire and damage brand reputation.

5. Dynamic Pricing

Dynamic pricing adjusts prices in real-time based on supply and demand. Think Uber surge pricing!

It maximizes profits during peak times (flights at holidays) and encourages purchases during slow periods (discounts on unused hotel rooms).

This strategy requires complex algorithms and can be perceived as unfair by some customers.

Surge Pricing for Movie Tickets: A local movie theatre might implement dynamic pricing for weekend blockbusters. Ticket prices could be higher on opening weekend due to high demand and gradually decrease throughout the following weeks.

Taxi Fare Fluctuations: Companies like Ola and Uber often employ dynamic pricing. During peak hours or periods with high demand for cabs, fares might surge to incentivize more drivers to log in and meet the demand.

Pros:

- **Increased Revenue:** By adjusting prices based on demand, businesses can capture a larger share of customer spending, especially during peak periods.
- **Optimum Resource Allocation:** Dynamic pricing allows businesses to allocate resources efficiently. For instance, higher cab fares during peak hours incentivize drivers to operate in those areas, ensuring better service availability for customers.
- **Reduced Price Discrimination:** In some cases, dynamic pricing can actually reduce price discrimination. For example, a student who can only attend a movie on a weekday afternoon might pay a lower price compared to someone attending on a crowded weekend evening.

Cons:

- **Customer Perception:** Frequent price fluctuations can lead to customer confusion or dissatisfaction. Businesses need transparent communication to justify dynamic pricing strategies.
- **Implementation Complexity:** Dynamic pricing requires sophisticated algorithms and data analysis to function effectively. Setting up and managing such systems can be complex and resource-intensive.
- **Gaming the System:** Customers might try to find loopholes to exploit dynamic pricing. For example, booking a taxi from a less busy area to avoid surge pricing. Businesses need to anticipate and address such potential issues.

6. Price Bundling

By carefully weighing the pros and cons of each pricing strategy and aligning it with your revenue model and target market, you can make informed pricing decisions that drive sales and propel your business towards success.

Remember, there's no one-size-fits-all approach.

Experiment, analyze results, and adapt your pricing strategy as your business evolves.

Mobile Phone Service Provider: The provider offers a bundled plan that includes unlimited calls, data, and a subscription to a music streaming service at a discounted price compared to purchasing them separately.

Hair Salon: The salon offers a package deal that combines a haircut, hair coloring, and a deep conditioning treatment at

a discounted price compared to booking these services individually.

Pros:

- **Increased Sales:** Offering bundled products or services at a discount incentivizes customers to purchase more, leading to higher sales volume.
- **Clears Inventory:** Bundling can be a strategic way to move slower-selling items by pairing them with popular products.

Cons:

- **Cannibalization of Sales:** Discounted bundles might cannibalize sales of individual products if customers opt for the bundle instead of buying items separately.
- **Complexity in Management:** Creating and managing multiple bundled offerings can become complex, requiring careful planning and consideration of profit margins.

Call-To-Action:

Craft the revenue model and pricing strategy for your venture idea via Venture Activity

Use learnings and Guidelines:

Pay attention to the different models that you have learnt about through the case and via the Revenue Runway game; apply learnings intelligently to define a revenue model that is likely to be effective for your venture idea.

Define a pricing strategy that you and your team believe will be effective to attract customers to buy your product.

Review and use learnings from learnings from this document as well as use learnings from the case used in this lesson.